

Selling more, earning less.

A twelve-month sales performance review of R 186,909,828 in revenue — and the cost structure quietly eating every rand of it.

PRESENTED BY

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SCOPE

12 months · 5.28M units

VERDICT

-3.81% margin

The business is growing in volume and shrinking in value

Across all twelve months, cost of sales exceeded revenue. There is not a single profitable month in the dataset.

TOTAL SALES

R186.91M

R 186,909,828

COST OF SALES

R194.03M

3.8% above revenue

NET PROFIT

-R7.12M

Loss in every month

UNITS SOLD

5.28M

Strong demand, weak economics

The average unit sells for **R35.40** but costs **R36.75** to deliver — a structural gap of roughly R1.35 per unit. Multiplied across 5.28 million units, that gap alone explains the - R 7,116,281 annual loss.

Monthly sales trend

Revenue peaks in May at R 21,249,505 and bottoms in November at R 11,020,532 — a 93% swing between the strongest and weakest month.



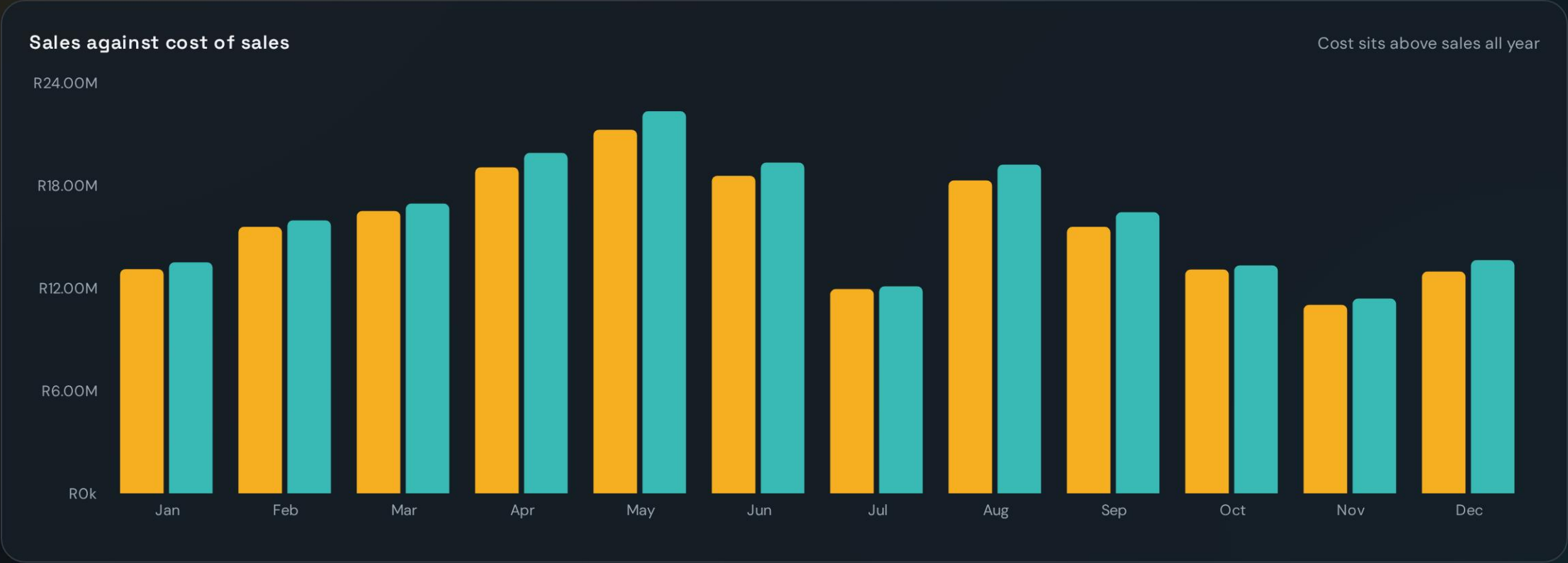
Monthly profit — twelve bars, all below zero

The deepest loss lands in May (–R 1,079,832), the same month revenue peaked. The shallowest loss is July (–R 166,252), the quietest trading month.



Sales vs cost of sales

The two bars track each other almost perfectly — cost is not a fixed overhead problem, it is variable and rises in lockstep with every sale made.



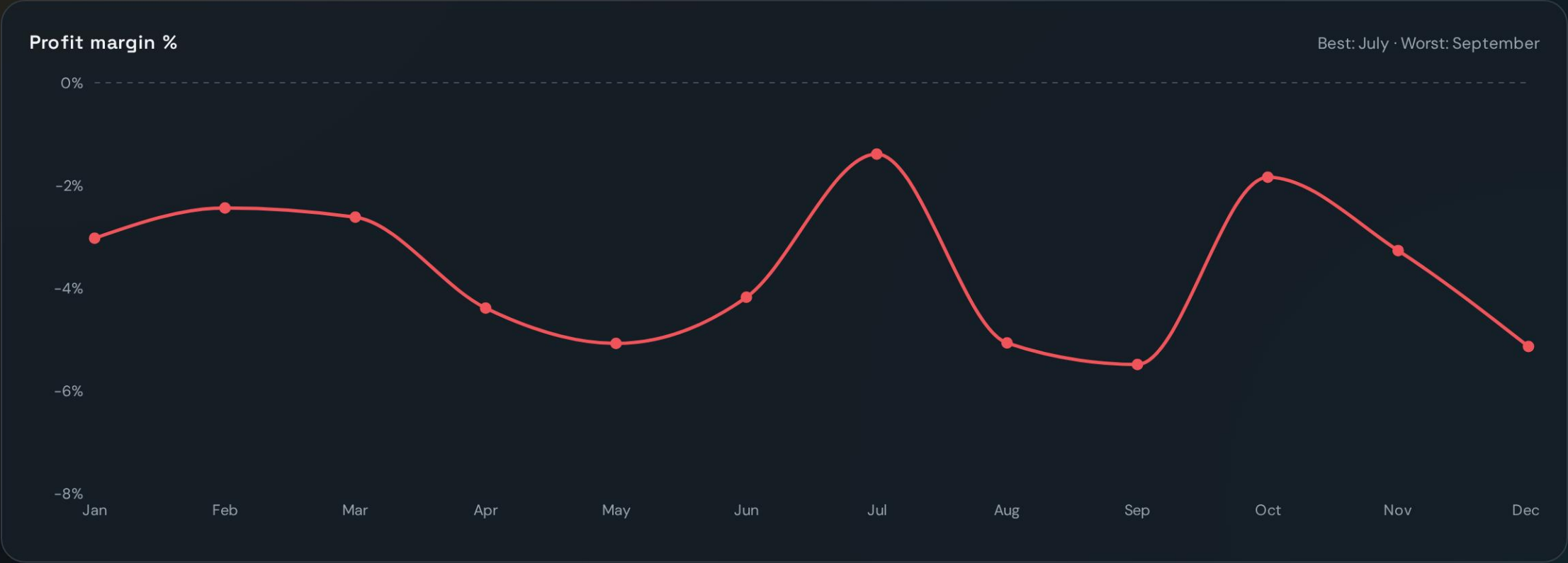
Quantity sold by month

Volume follows the same seasonal shape as revenue: an April–June surge, an August spike, then a soft fourth quarter. Demand is healthy — pricing is not.



Profit margin by month

Margin ranges from -1.39% in July to -5.49% in September. The pattern is counter-intuitive: the busier the month, the worse the margin.

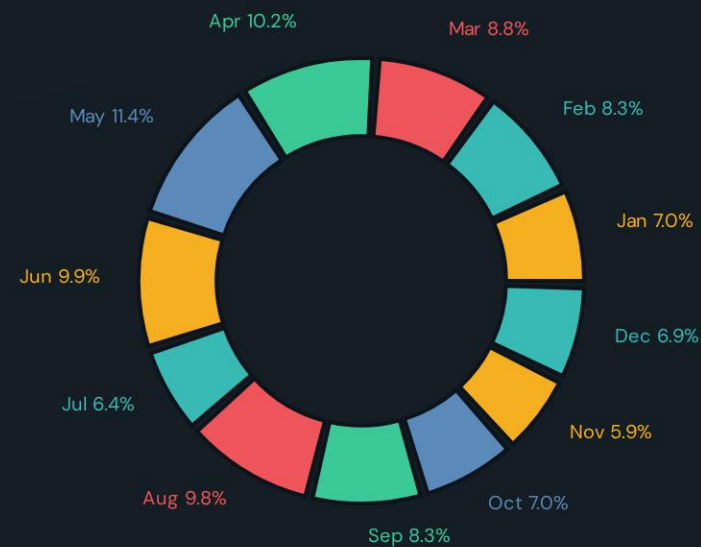


Where revenue comes from, and how big a typical sale is

May alone carries 11.4% of annual revenue while November carries 5.9% — a concentration risk that makes the loss-making peak months even more dangerous.

Sales contribution by month

Share of annual revenue



Average sales by month

Average value per transaction



Five insights the data gives up

INSIGHT 01

Growth is the loss engine

Quantity sold and profit correlate at -0.83 . Every additional unit deepens the loss, so scaling the current product mix scales the damage. This is a unit-economics failure, not a demand failure.

INSIGHT 02

The best month is the slowest month

July had the lowest revenue of the year (R11.9M) yet the healthiest margin (-1.39%). November, the lowest-volume month, also outperformed the average. Low-volume months are less loss-making.

INSIGHT 03

A R1.35-per-unit structural gap

Average realised price is R35.40 versus R36.75 average unit cost. A 4% price increase — or the equivalent cost reduction — flips the whole year to breakeven.

INSIGHT 04

December breaks the pattern

December has the second-highest average sale value (R221k) on modest volume, but still a -5.14% margin. High-value December orders are being discounted or fulfilled at premium cost.

INSIGHT 05

Revenue is dangerously seasonal

April–June and August produce 44% of annual revenue. Because those are also the worst-margin months, seasonality concentrates losses instead of profits.

BOTTOM LINE

This business does not have a sales problem. It has a pricing and cost-of-sales problem that volume growth is making worse every month.

Four moves to reach breakeven

01**Reprice by $\geq 4\%$**

Closing the R1.35 unit gap turns a R7.1M loss into roughly breakeven with zero volume growth required.

02**Audit peak-season cost**

Investigate why May, August and September cost structures deteriorate — likely overtime, rush freight or peak-season supplier premiums.

03**Stop rewarding volume alone**

Shift sales incentives from revenue targets to margin targets, since revenue growth currently destroys value.

04**Rebuild the low-season playbook**

July and November prove the model can nearly break even. Understand what is different there and apply it year-round.

Sales Performance Dashboard

12-month view · all figures ZAR

TOTAL SALES

R186.91M

R 186,909,828

COST OF SALES

R194.03M

R 194,026,109

NET PROFIT

-R7.12M

-R 7,116,281

UNITS SOLD

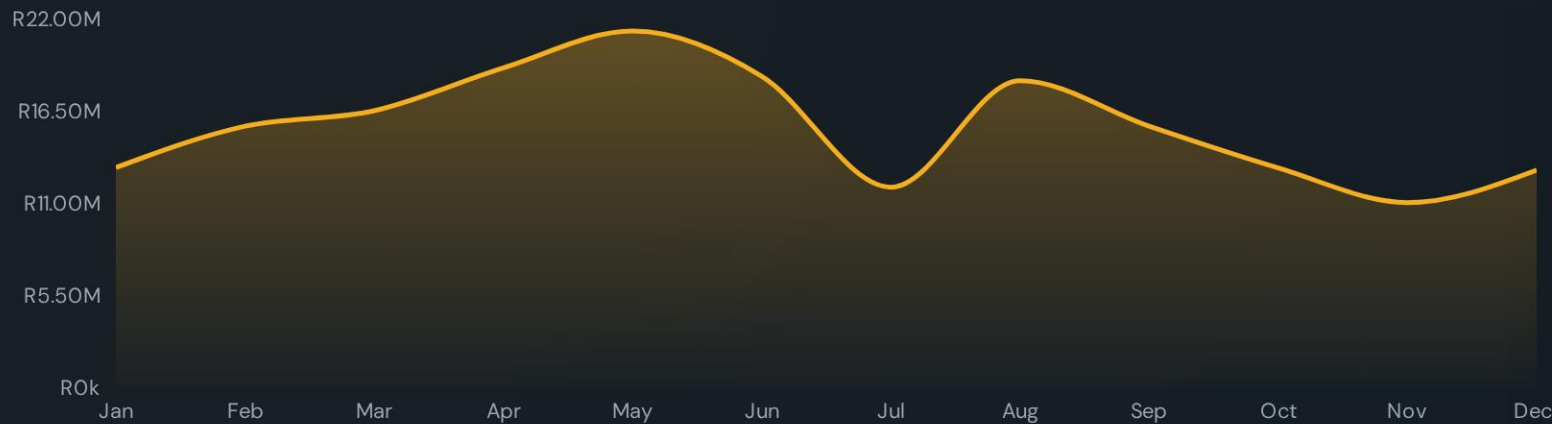
5.28M

5,279,872 units

PROFIT MARGIN

-3.81%

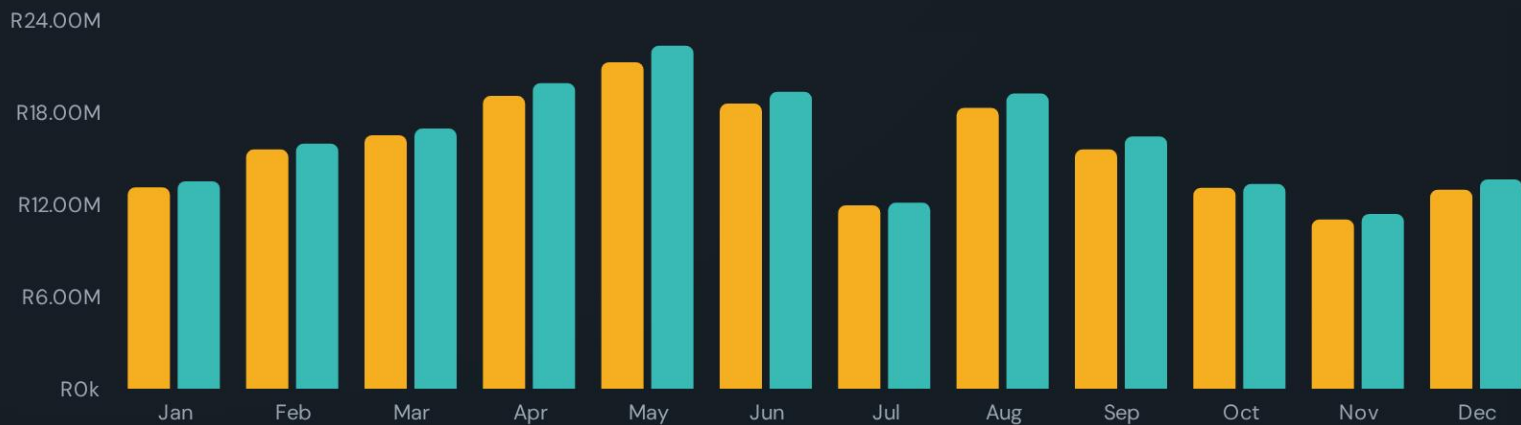
Monthly sales trend



Profit margin %



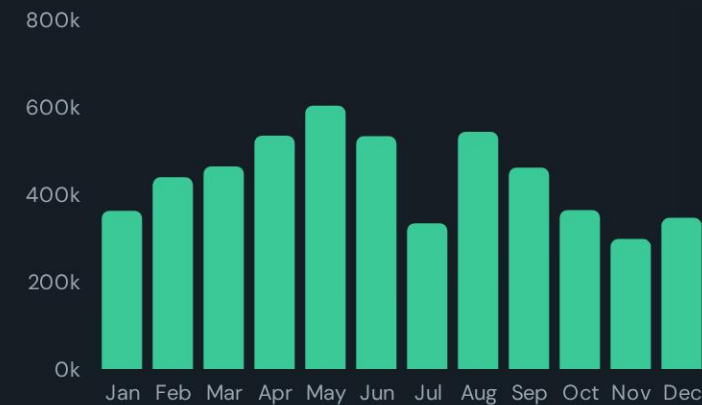
Sales vs cost of sales



Monthly profit



Quantity sold



Average sales



Sales contribution

